

Selling in King County

Timing, location and renovation — what a year of sales shows

THE CLIENT

Charles has three questions

1

**When should I
sell?**

2

**Which
neighborhood?**

3

**Should I
renovate?**

A seller looking for large returns.

THE DATA

One year of the whole county

21,597

house sales

21,420

individual houses

70

zipcodes

12

months

Every recorded sale in King County, Washington, from May 2014 to May 2015.

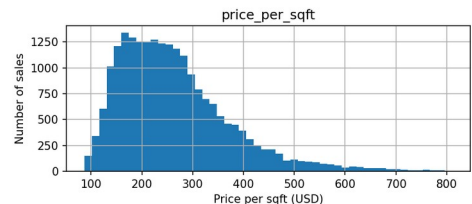
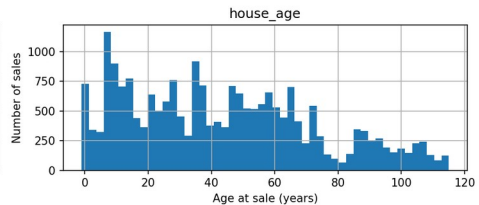
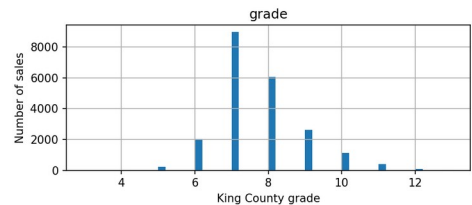
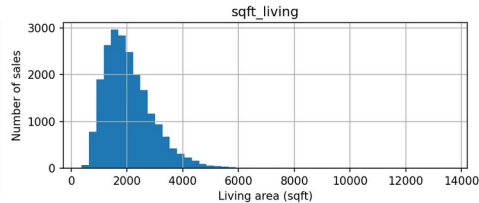
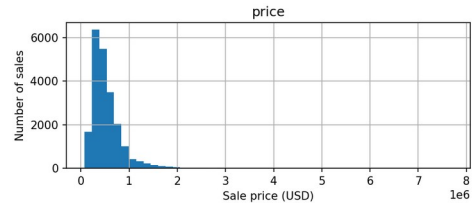
Three choices behind every number

1 Neighborhood means zipcode

2 Value means price per square foot

3 Every figure is a median

A few multi-million-dollar sales would drag any average upward.



Price, size and value per square foot all lean to the right.

HYPOTHESES

What I expected to find

- 1 Houses sold in spring sell for more than houses sold in winter.
- 2 Neighborhoods near the water and the city centre carry a higher price per square foot than outlying ones.
- 3 Recently renovated homes sell for more than comparable ones never renovated — and old renovations show no premium.

QUESTION 1 — WHEN TO SELL

SUPPORTED

April sells. December does not.



+11%

April over December

\$260

median sqft in April

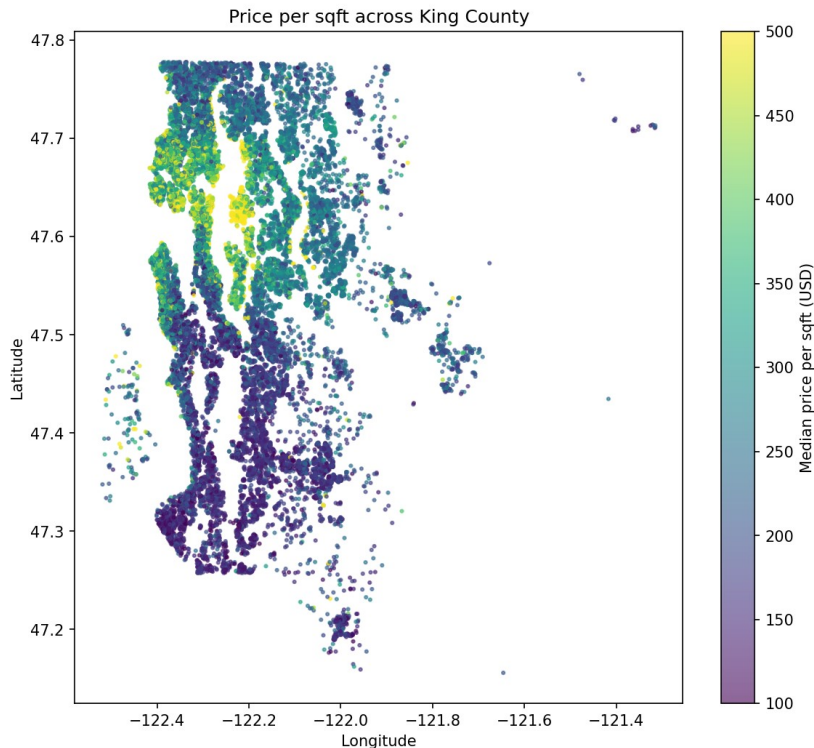
\$233

median sqft in December

QUESTION 2 — WHERE THE VALUE IS

SUPPORTED

The map does the talking



2.76x

top ten zipcodes over
the bottom ten

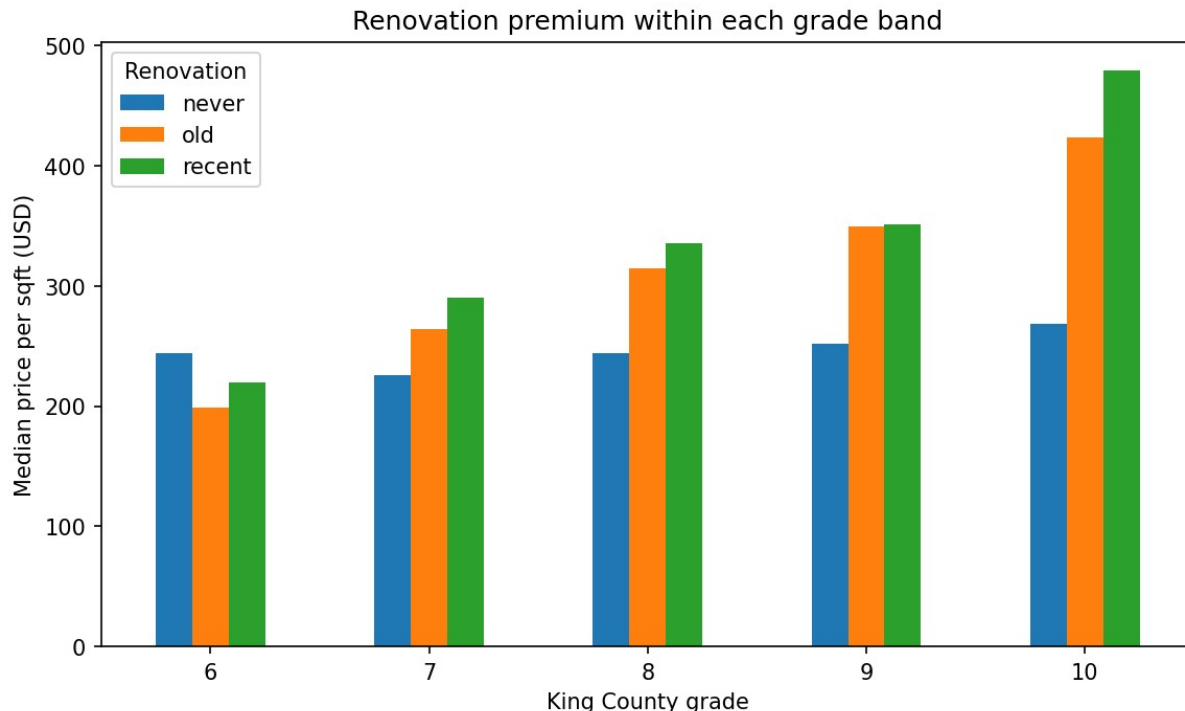
Highest	\$/sqft
Medina 98039	565
Bellevue 98004	457
Queen Anne 98109	428
Lowest	\$/sqft
Auburn 98001	147
Kent 98032	146
Federal Way 98023	145

One cluster around Lake Washington and central Seattle. Another, far cheaper, in the southern suburbs.

QUESTION 3 — DOES RENOVATING PAY?

NOT SUPPORTED

The premium that wasn't there



+2.7%

inside the same zipcode

Grade holds build quality constant. It does not hold location constant.

39 / 68

zipcodes where it paid

RECOMMENDATIONS

Three things Charles should do

1

List in early spring, close in April

Worth about 10% against a December sale. It costs nothing but patience.

2

Judge any property by its zipcode first

Location sets value per square foot far more than anything about the house.

3

Do not renovate as a price play

Against comparable homes in the same neighbourhood, it shows no reliable return.

HONEST LIMITS

What this cannot tell you

- **One year of data** May 2014 to May 2015
- **Association, not cause** renovated homes sell higher — not proof that renovating caused it
- **A small renovated group** 744 sales out of 21,597

Questions

Sell in spring · Buy by zipcode · Skip the renovation

github.com/rouzbeh-enayatzadeh/eda-project